

Project Initialization and Planning Phase

Date	13 July 2026
Team ID	N/A
Project Name	FinRelief AI – AI Powered Debt Relief & Financial Recovery Platform
Maximum Marks	5 Marks

Project Proposal (Proposed Solution) report

This proposal presents FinRelief AI, an AI-powered debt relief and financial recovery platform that helps borrowers manage overdue loans, understand their true financial position, and negotiate realistic settlements with lenders. By combining structured financial analysis with generative AI, the platform reduces the stress and guesswork borrowers face when dealing with debt recovery.

Project Overview	
Objective	To simplify and automate debt management and financial recovery for borrowers by combining loan tracking, financial health analysis, and AI-generated negotiation support in a single platform.
Scope	The project covers borrower registration, loan and EMI tracking, financial health scoring (EMI ratio, DTI ratio, monthly surplus), AI-based settlement recommendations, and Gemini-powered negotiation letter generation, all delivered through a secure web application.
Problem Statement	
Description	Borrowers facing overdue loans often struggle to assess their real financial stress level and lack the knowledge or confidence to negotiate settlements with lenders, leading to missed opportunities for recovery and continued financial strain.
Impact	Addressing this gap improves borrowers' ability to negotiate realistic settlements, reduces prolonged debt stress, and gives lenders clearer, well-reasoned settlement requests, improving recovery outcomes for both sides.
Proposed Solution	
Approach	Employ a structured financial engine to calculate EMI ratio, DTI ratio, monthly surplus, and a debt stress score for each loan, and combine this with the Google Gemini API to generate professional, lender-specific negotiation letters and settlement recommendations.
Key Features	Loan and EMI tracking with overdue duration monitoring. Automated financial health scoring (EMI ratio, DTI ratio, monthly surplus). AI-generated, lender-specific settlement percentage recommendations. Gemini-powered negotiation letter and email drafting. Negotiation history log for tracking past AI-assisted communications. Rule-based fallback recommendations when the Gemini API is unavailable.

Resource Requirements

Resource Type	Description	Specification/Allocation
Hardware		
Computing Resources	Processor for running backend services and AI API calls	Intel i3 or above
Memory	RAM specification	Minimum 4 GB, recommended 8 GB
Storage	Disk space for application, database, and logs	Minimum 2 GB free disk space
Software		
Frameworks	Backend and frontend frameworks	FastAPI, React.js
Libraries	Supporting Python libraries	SQLAlchemy, Pydantic, google-generativeai
Development Environment	IDE / tools used	VS Code / PyCharm, Anaconda Navigator, Jupyter Notebook
Data		
Data	Source, size, format	Borrower-entered loan data stored in SQLite (relational, CSV export supported)